Risk and Controls

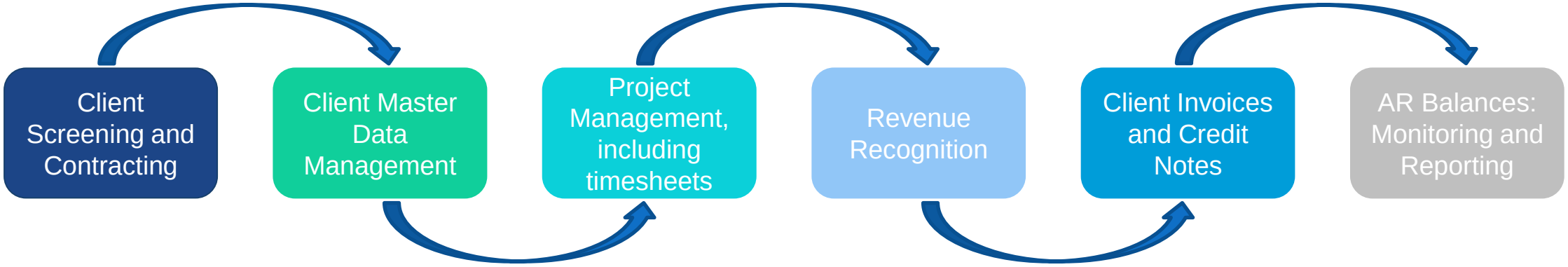
Revenue Training

Upon completion of this training, you will understand...

- The risks WPP faces with regards to revenue recognition
- The controls in place to support accurate revenue recognition
- The steps involved in the revenue contract assessment
- Considerations to determine agent vs principal for accounting

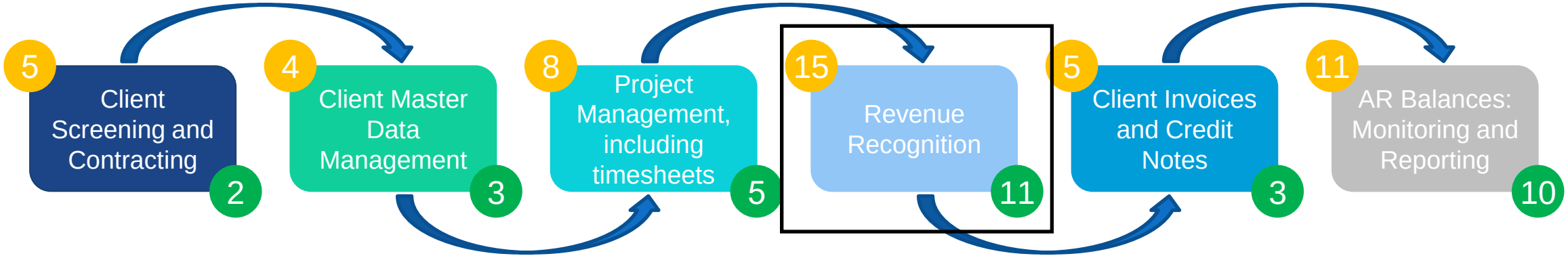
Revenue process steps

At WPP, the revenue lifecycle from client take on to Financial reporting can be broadly broken down into six sub-processes:



Revenue process steps

At WPP, the process of revenue recognition can be broadly broken down into six sub-processes:



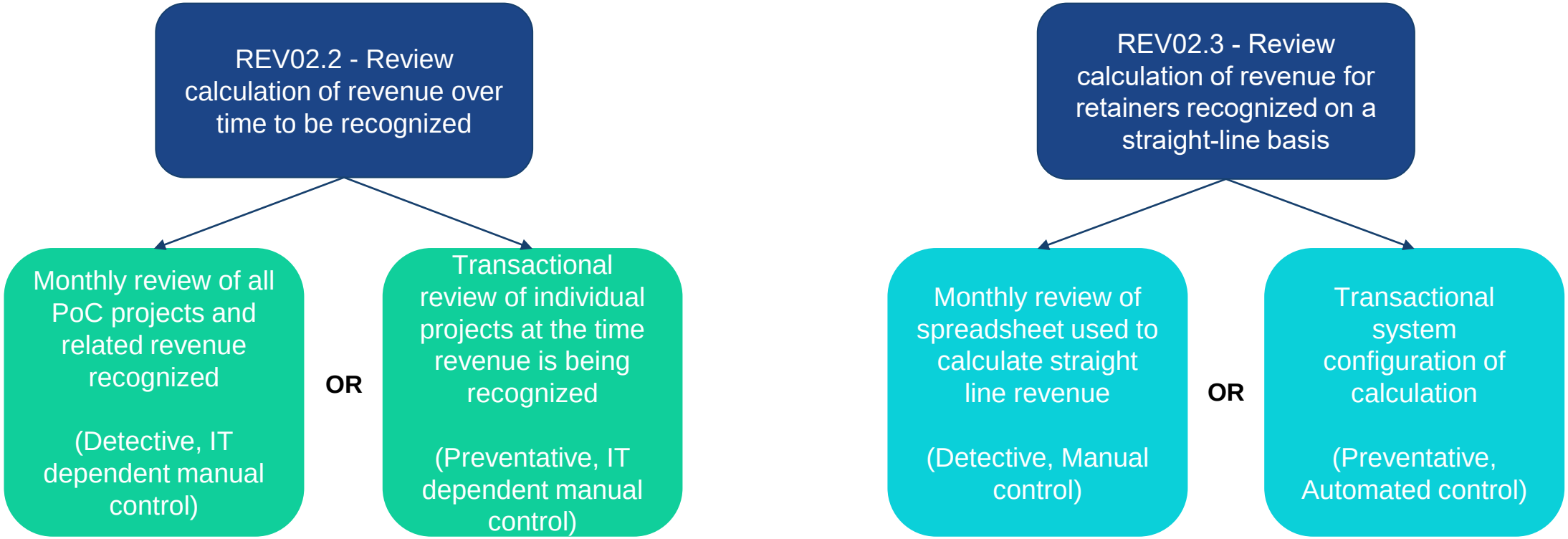
Risks

Controls

Some risks are mapped to multiple sub-processes. Configuration controls have been excluded from the above

Adapting revenue controls

Understanding what controls are and different types of controls allows OpCos to identify the right design of controls for their circumstances.



Once an OpCo has identified their appropriate design for their circumstances, they need to document the design within the RCM and process documentation as well as their control attributes.

KNOWLEDGE CHECK

True or False:

Controls must be implemented exactly as shown in the RCM.



OpCos can utilize a different type of control which addresses the associated risk, but this must be documented within the local RCM and process documentation as well as their control attributes.



If the OpCo determined that a control is not applicable to them, the OpCo need not perform the control and no further action is required.

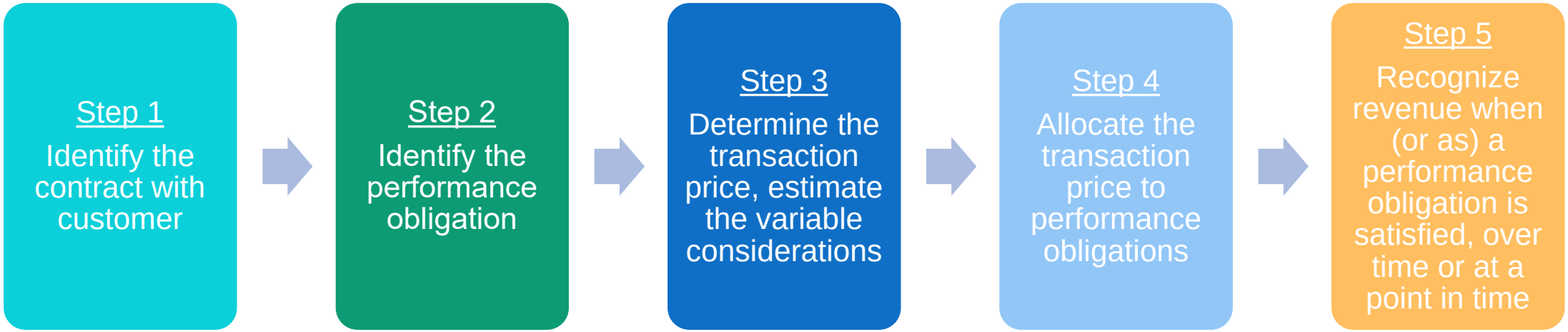


Revenue Accounting Considerations

Revenue Accounting – Contract Assessment

When new revenue contracts are executed, the contracts should be assessed against the IFRS 15 five step guidance.

For contracts that are consistent with assessments already performed, reference to existing assessment is appropriate documentation. For example, it may apply to an SOW under existing MSA or a standard/consistent contract templates typically used by Opco.



The RCG and Group Reporting have developed a revenue contract assessment template, which is available on InsideWPP.

Revenue Accounting – Agent Vs. Principal

Assess whether entity controls goods or service(s) before transfer to customer

Definition of control

Ability to direct use and obtain benefit from goods or service(s)

OR

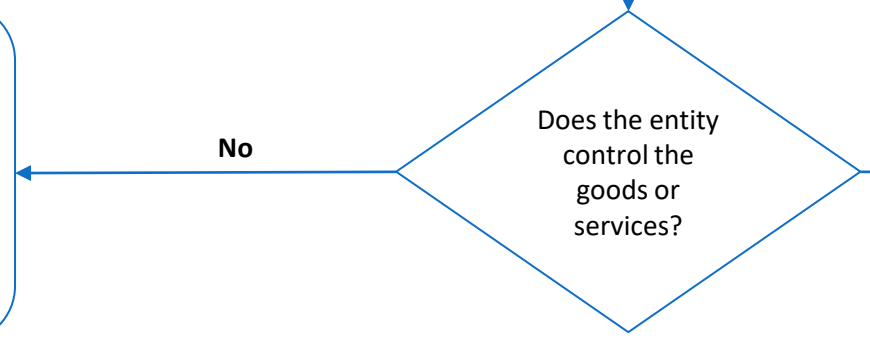
Ability to prevent others from directing use and obtaining benefits from goods or service

An entity that is Principal obtains control of any one of the following:

- Goods from the other party then transfers to customer
- Right to a service to be performed by the other party, which gives the entity the ability to direct that party to provide the service to the customer on the entity's behalf
- Good or service from the other party that it them combines with other goods or services in providing the specified good or service to the customer

Indicators of Control

- Primarily responsible for fulfilling promise
- Inventory risk
- Pricing discretion



No

Agent

Cost of goods sold
(e.g. Traditional Media)

Yes

Principal

Direct costs (e.g. subcontractors)

OR

Operating costs (e.g. freelancers)

The "WPP Accounting Policy & Procedure - Revenue Recognition & Related Accounts" should be referenced for additional detail

Revenue Accounting – Types of fee arrangement

Additional guidance on fee arrangements:



Standard Fee-Based

General scope of work, hours to be incurred or a specific project where fees are not based on client spending.

Indicators:

- Cancellable by the client
- Fee reconcilable to time incurred or as detailed in a staffing plan included or referenced in a contract



Retainer

Client contract where level of service is not relevant. Billings based on a contractual period for stand-by services.

Indicators:

- Broad scope
- Scope generally not reconcilable to an input or output measure
- Client makes regular payments regardless of services provided



Media Commissions

Related to commissions on purchased media. Can be traditional or hybrid.

Indicators:

- Traditional media: Service is for media planning and buying. Fees based on a percentage of spend. Contract can be cancelled and the entity may still receive some commission
- Hybrid: Traditional planning and buying where billings are based on a combination of fees and commissions



Trading Income

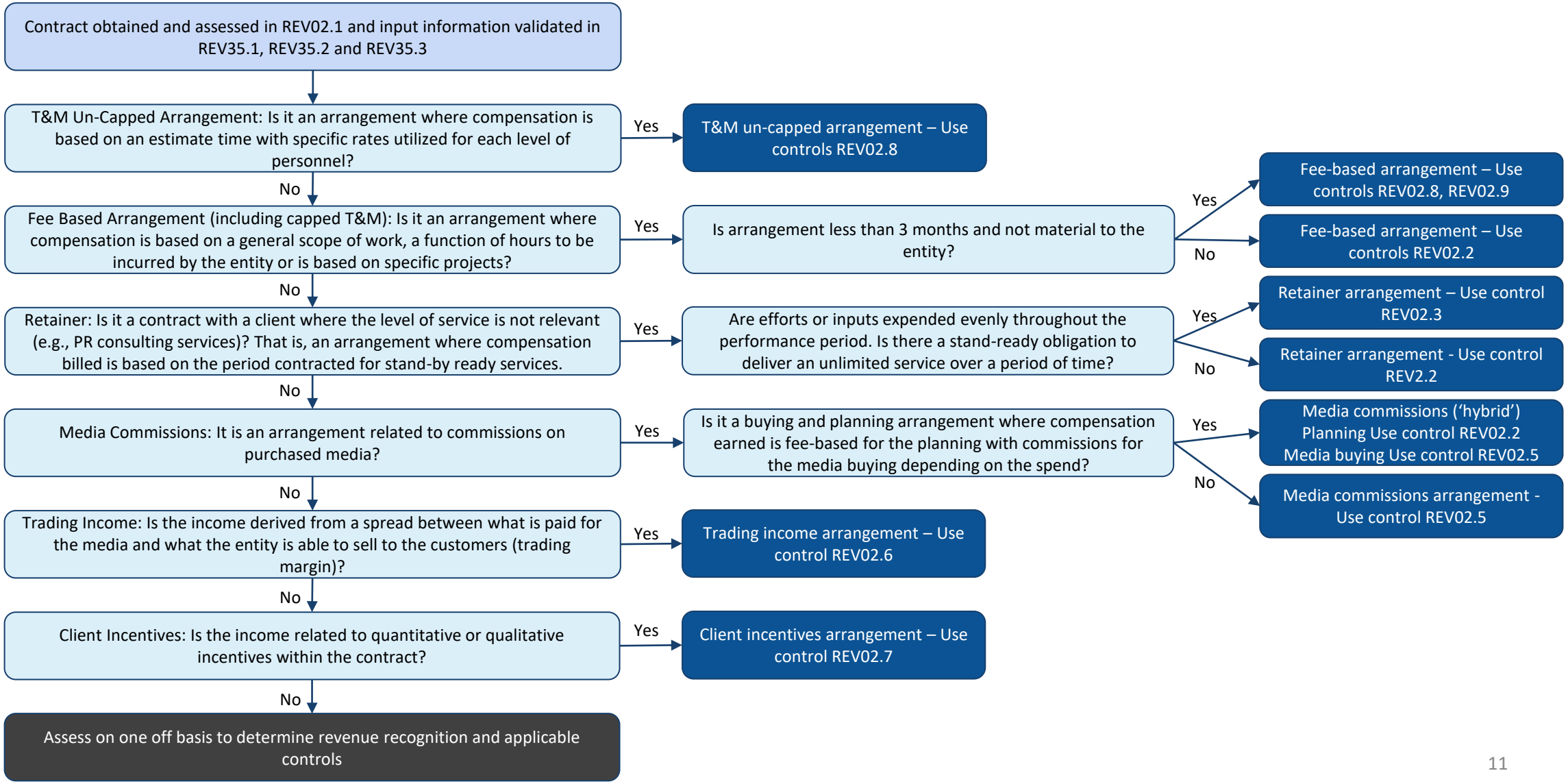
Driven based on what is paid for the media and the price it is sold for.

Trade margin is the entity's fee.

Indicators:

- Client has a spend budget which is managed by the OpCo
- Media is not purchased for a specific client

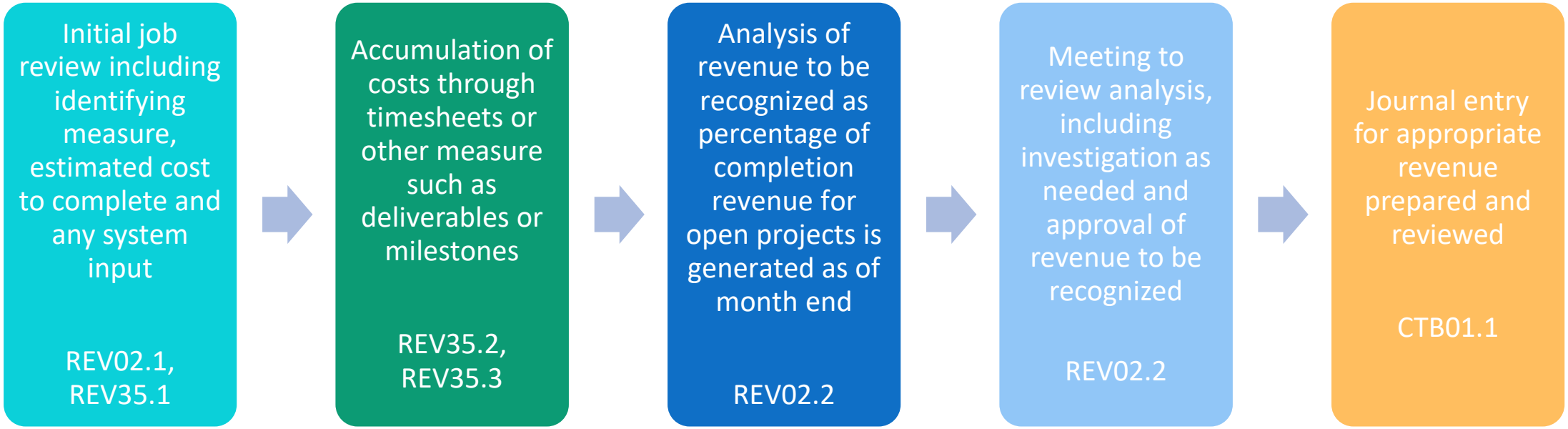
Revenue Accounting – Revenue Decision Tree



Revenue Accounting – Revenue over time considerations

When we have contracts where revenue over time is recognized, progress towards completion must be measured to ensure the timely recognition of revenue. At WPP, typical revenue over time includes fee-based arrangements.

Revenue recognized through revenue over time typically follows the following process:



Process and nature of detail reviewed should be used consistently for a project resulting in ease of preparation and accurate revenue recognition.

Revenue Accounting – Revenue over time considerations: Timesheets

Where time is the driver of the revenue over time calculation, it is critical that timesheets are reviewed and determined to be complete and accurate so that revenue over time is accurately calculated.

Key items to consider as part of the review of timesheets include:

Control Owner must thoroughly check the information before approving the timesheet

+

Control Owner must not be able to make adjustments to the information, adjustments should require them to reject and send it back to the submitter

+

Once approved, timesheets should not be able to be adjusted

If the above items are not able to occur, additional procedures need to be considered to verify the timesheets are accurate at the time they are used to determine revenue over time

SUMMARY

- Revenue is an area of high risk for WPP and it is critical that we recognize revenue correctly
- Contracts should be assessed using the revenue contract assessment tool (or local equivalent) in order to determine the fee arrangement
- The agent vs. principal assessment is key in making sure that revenue and associated costs are recognized correctly. This assessment must be documented as part of the contract assessment
- The Group Accounting Policies can provide additional guidance when performing revenue assessments
- The revenue decision tree can be used to help you to determine the controls that need to be operating based on the fee arrangement

KNOWLEDGE CHECK

True or False:

When reviewing a revenue contract, it is not essential for OpCos to determine whether they are principle or agent.



Depending on the revenue type, different REV02 controls would be applicable for the OpCo.



For contracts where revenue over time is recognized, progress towards completion must be measured to ensure the timely recognition of revenue.



THANK YOU

WPP